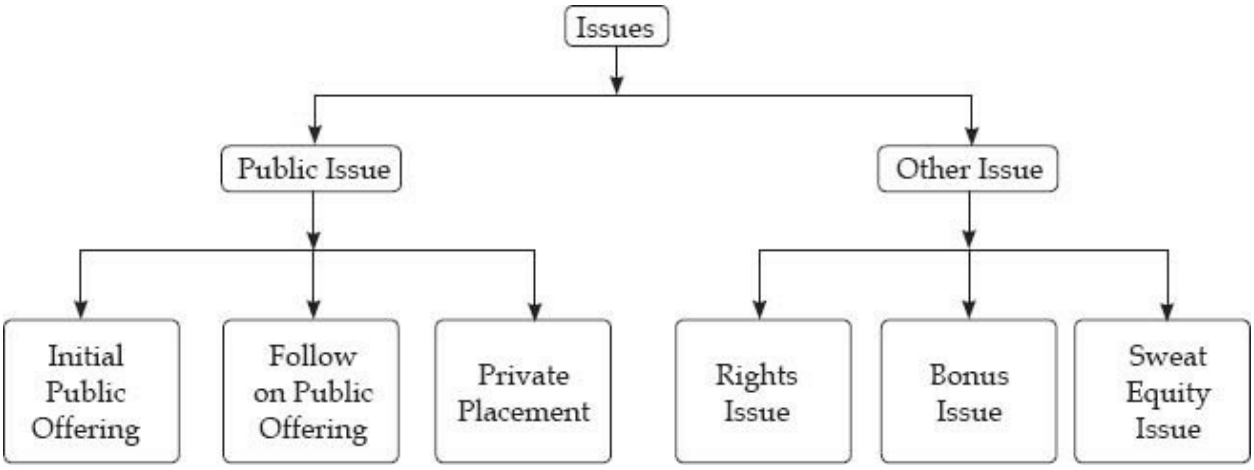


Public and other issues

Public issue means issue of securities to public i.e. to all people, whoever wants to invest. In other issues, the securities are issued to a closed group of people.

Public Issues

In New issue market, if any company or financial corporation (issuer) issues shares for the first time, it is called as Initial Public Offering (IPO).The issuer may be an existing company or corporation or may be a new start up. And if any company or corporation that has already issued shares, issues shares again, to raise additional fund it is called as Follow on Public Offering (FPO).

Issue Process

There are two ways of issuing securities in the New issue market. One is declared price issue and another is Book building issue. In the case of declared price selling, the issuer offers shares at a pre-fixed price. In **Book building,** the price is not announced. First, the issuer offers the shares and gets application from public and then based on the demand fixes the price. If the demand is high, the price is fixed high and vice versa.